



Telco Customer Churn Analysis (with Percentages)

This analysis explores key patterns in customer churn from a telecom dataset using visual and statistical insights.

1 Churn Rate Overview

- **Total Churn Rate:** ~26.5% of customers have churned.
 - That means roughly **1 in 4** customers is leaving — a red flag for retention teams.
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2 Demographics & Churn

♦ Senior Citizens

- **Churn Rate:** ~42%
 - ▲ **Much higher** than the churn rate of **non-senior citizens** (~24%).
 - → Senior citizens are almost **2x more likely** to churn.
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3 Tenure (How long they've been with the company)

- **New users (1–2 months):** Churn rate ~60%
 - **Long-term users (60+ months):** Churn rate <10%
 - 🔍 Customers in early months are most vulnerable — need onboarding support.
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4 Contract Type

Contract Type	Churn Rate
Month-to-month	~43%
One year	~11%

Two year ~3%

- -  Month-to-month plans see the **highest churn**.
 -  Long-term contracts significantly **reduce churn**.
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5 Internet Service Type

Internet Type	Churn Rate
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DSL	~19%
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Fiber Optic	~42%
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No Service	~7%
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- - ▲ **Fiber optic** users churn most — possibly due to higher expectations or pricing.
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6 Add-on Services & Churn

Service Type	With Service	Without Service
OnlineSecurity	~15%	~40%
OnlineBackup	~18%	~35%
DeviceProtection	~19%	~32%
TechSupport	~14%	~37%

- - ✓ These services act as **retention hooks**.
 - Users without them are 2x more likely to churn.
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7 Streaming Services (TV/Movies)

- **Minimal impact** on churn.

- Whether customers use streaming or not, churn rates remain similar (~25–28%).

Payment Method

Payment Method	Churn Rate
Electronic Check	~45%
Credit Card	~16%
Mailed Check	~19%
Bank Transfer	~17%

-  **Electronic check** users are **most likely to churn** — possible link to customer type or payment friction.

Actionable Suggestions

1. **Target high-risk segments:**
 - Senior citizens
 - New customers (first 2 months)
 - Electronic check users
2. **Promote long-term contracts** to reduce churn drastically.
3. **Bundle security/support services** (e.g. TechSupport, OnlineSecurity) with other plans — they're proven churn reducers.
4. **Improve experience for fiber optic users** (since they churn the most).

Summary for Stakeholders

This churn analysis helps Telco identify at-risk customers by uncovering behavioral patterns. Adding support features and long-term contracts are key levers to reduce churn and retain customers.

